

Good morning, Pro Briefers!

For the last decade, investors that wanted to invest in defense typically chose: cyber defense companies, space satellites, or AI systems.

The reason? These companies are creating hot innovations, with lots of room to grow.

But what about the companies making actual bullets, missiles, and bombs?

These were seen as old-school and low-margin - not where the "smart money" was heading.

But in 2026, that trend has started to shift.

The U.S.'s military has been running operations in and around Venezuela for the last few months.

These operations reached a peak on January 3rd, when the Venezuelan president Maduro was removed from office by the U.S. military.

What's the point? The U.S. intervention in Venezuela was quick and precise, using overwhelming military force to achieve its objectives in the Western Hemisphere.

But there was a problem: The amount of missiles and ammunition used in just a few weeks exceeded three years of normal production.

Now, the goal is no longer just better, more advanced weapons - it's more of them.

However, the U.S. government doesn't really make its own weapons - it hires contractors to do that.

In short - that military spending is now starting to shift, with traditional defense names picking up the cash.

This "Innovation" funding to "Replenishment" funding, is where we have identified a Government Shift:

The Department of Defense is authorizing multi-year contracts for traditional ballistics companies to rebuild depleted stockpiles, creating guaranteed revenue for manufacturers over the next 5-7 years.

Let's break down why investors may want to keep an eye on this shift.

First. what does "Replenishment" mean?

The U.S. military burned through cruise missiles, artillery shells, and precision weapons at a rate that factories simply can't keep up with under normal production.

This creates a supply squeeze where the only solution is paying manufacturers to run their factories around the clock.

But there's more - foreign sales are also surging.

Watching how effective American weapons were in Venezuela, allied nations in Eastern Europe and Asia are rushing to secure their spot in the production line.

Orders aren't just coming from the Pentagon anymore - they're coming from NATO allies and Pacific partners who want the same proven systems.

The bottom line: The companies that can manufacture high-explosive munitions at massive scale are now in a position to potentially benefit from years of guaranteed contracts.

And as these defense companies increase production and secure long-term revenue, investors may also be able to benefit.

ANALYST TAKE

Tickers we're tracking:

Missiles: RTX

Artillery: GD

Precision Systems: LMT

MISSILES

Long-range Warfare

A big part of war is long-range weaponry - the main component of that is missiles.

RTX Corporation (RTX), formerly Raytheon, is the premier missile maker in the world.

What do they make? RTX builds several weapons for the U.S. military, including the

what do they make? RTX builds several weapons for the U.S. military, including the Patriot missile system, which is used to shoot down enemy missiles and aircraft before they can cause damage.

While the operation in Venezuela focused heavily on airpower, the demand for Patriot systems is growing overseas, particularly in Europe.

The wait for European nations to get Patriot systems is long as well - as there's currently not an equivalent for for sale anywhere else in the world and the U.S. Army is prioritizing its own inventory first.

RTX secured a historic \$5.6 billion multi-year contract just for Patriot missiles in December 2025 with Spain and Romania - extending production through 2026 and beyond.

Raytheon Q3 2025 results

\$ MILLIONS

▲ **10%** ORGANIC SALES

ADJUSTED
SALES

▲ **10%**

ADJUSTED
OPERATING PROFIT

▲ **30%**

BACKLOG

\$72B

ADJUSTED
SALES

\$6,386
\$7,045

ADJUSTED
OPERATING PROFIT

\$661
\$859

ADJUSTED
ROS

10.4%
12.2%

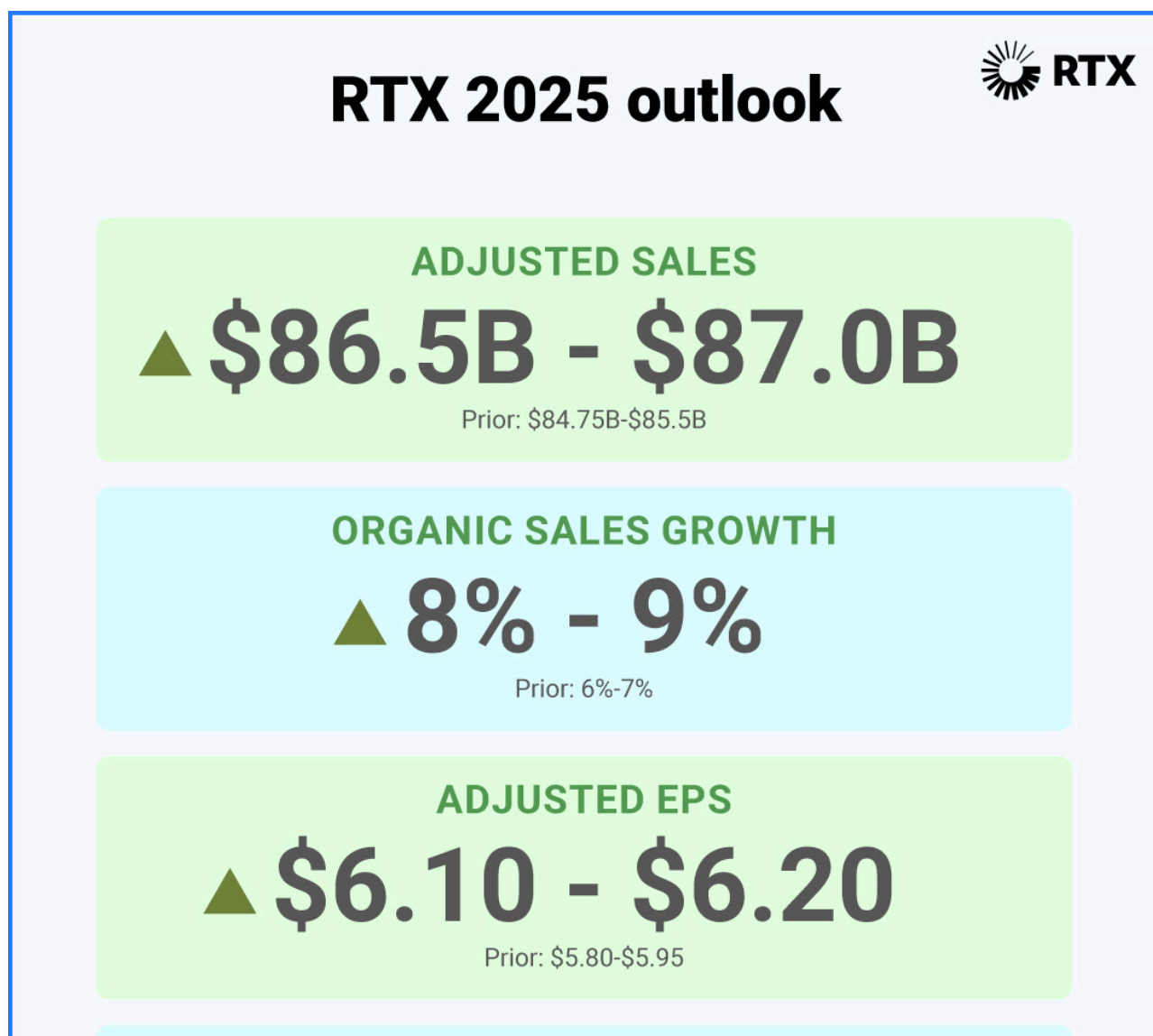


Data [via](#) RTX Investor presentation

What's the opportunity? The effectiveness of U.S. weapons in Venezuela has proven these systems work, making RTX currently the only major supplier of battle-tested interception technology.

The company has also announced a major shift in strategy:

RTX has invested \$500 million to double its production lines in Tucson, Arizona - with that money to be spent from 2021 into the 2030s.



FREE CASH FLOW

\$7.0B - \$7.5B

Prior: \$7.0B-\$7.5B



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Data [via](#) RTX Investor presentation

New "Emergency" contracts typically come with higher profit margins than standard government purchases.

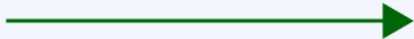
RTX's backlog of orders has reached record highs, too - but unlike airplane orders (which customers can cancel), munitions orders are basically guaranteed.

That = a steady stream of income for RTX in the long-term.

Shares of RTX are up around 32% in the last six months, and this cycle of replenishment is only just beginning.

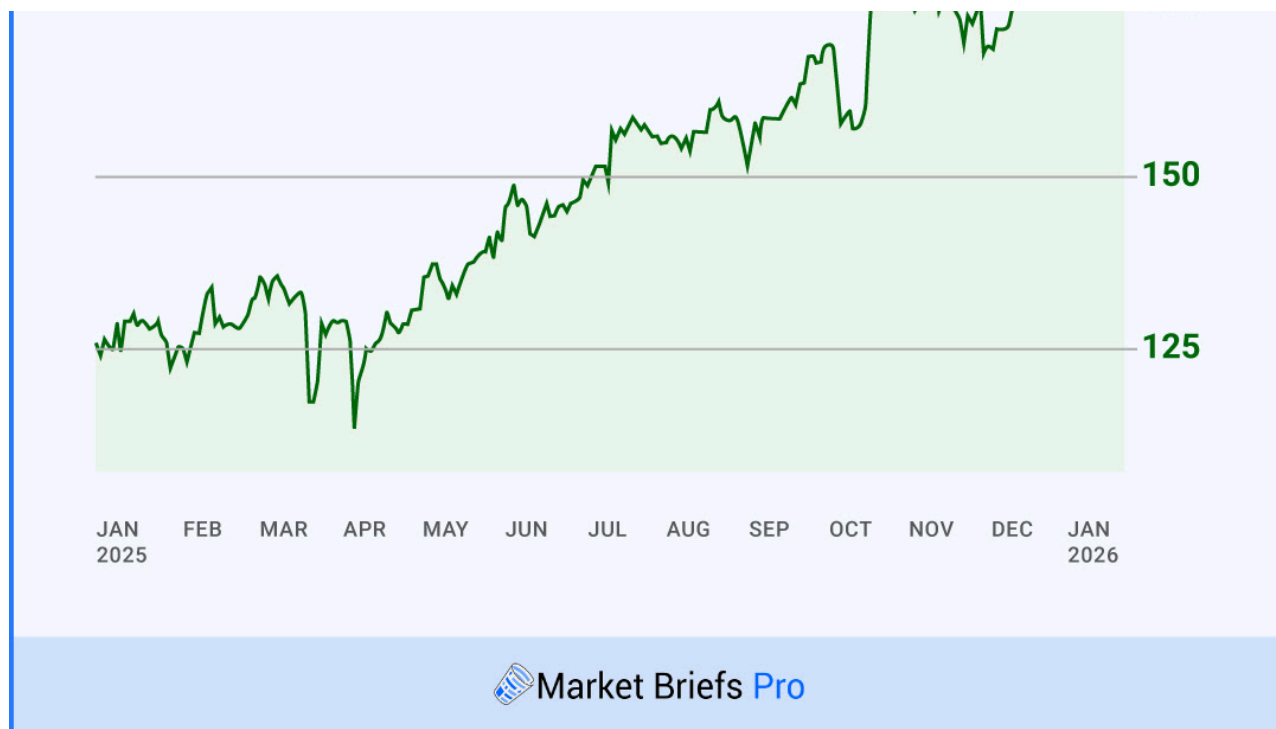
RTX Corporation (RTX)

1 Year Price



197.50
(57.06%)





Data [via](#) Yahoo! Finance

The company may be positioned as a potential opportunity for the expenditure of American military power, and one investors will want to keep an eye on.

ARTILLERY

Restocking Weapons

Missiles are big and flashy - but to win wars, militaries need lots of ammunition.

That brings us to General Dynamics (GD).

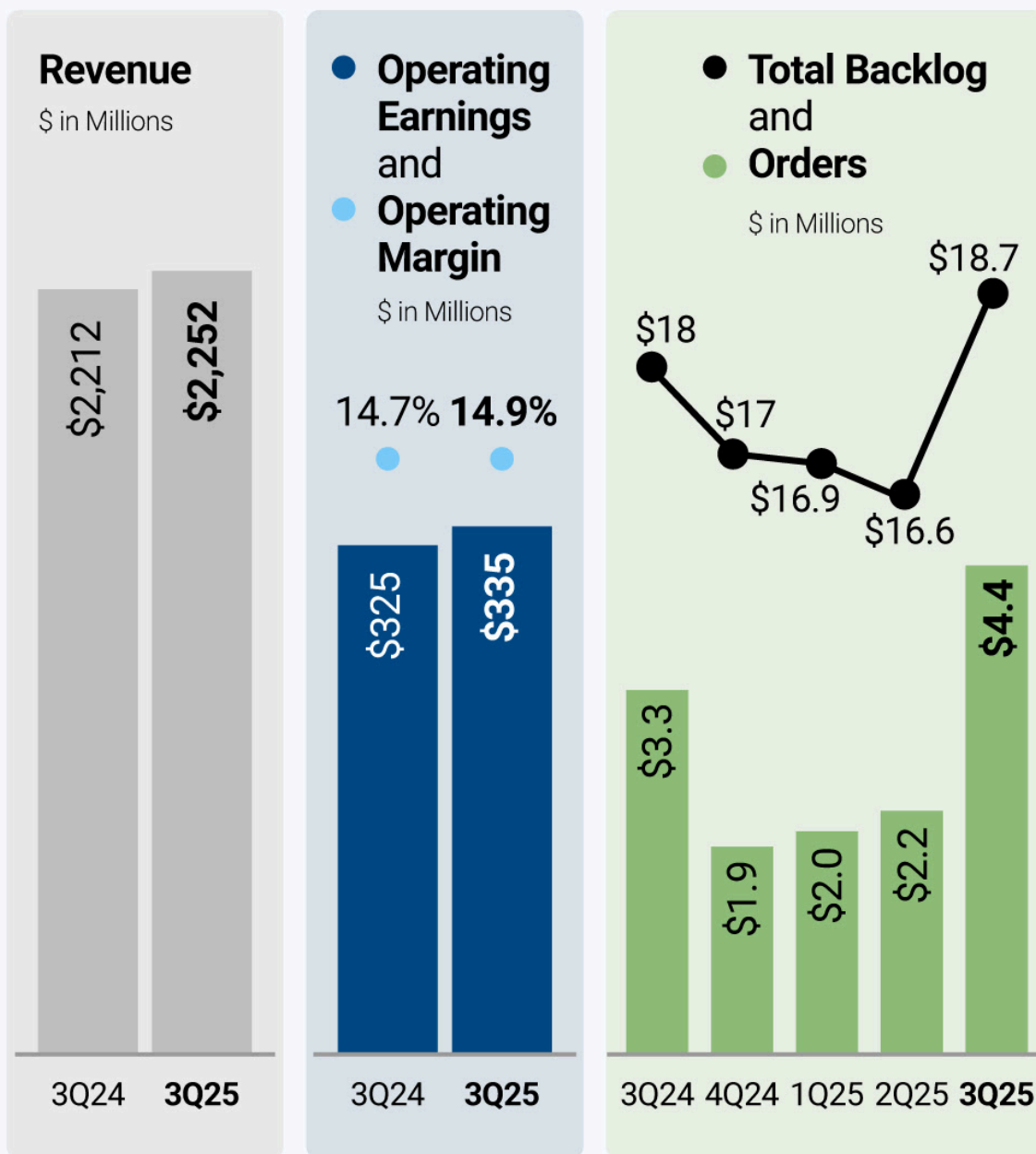
Most people know General Dynamics for making Gulfstream private jets - but the company's Combat Systems division is the king of artillery.

Flashback. Conflicts in Eastern Europe drained the West's supply of 155mm artillery shells over the last few years.

- The conflict in Venezuela further depleted stockpiles of naval munitions and precision rockets.

General Dynamics operates the U.S. Army's main ammunition plants, including the historic Scranton facility.

GD Combat Systems Q3 2025



 Market Briefs Pro

Data via [GD Investor Presentation](#)

The Department of Defense recently authorized a "Surge Capacity" contract to ramp production from 40,000 artillery rounds per month to 100,000 rounds in 2025, with the help of other military contractors.

This is an industrial level of production - similar to what was seen during World War II.

The move is simple: Pour steel and explosive materials into shells at massive scale.

Why General Dynamics? They make the MK-80 series bomb bodies, which were heavily used by the Air Force in Venezuela.

- They also own the designs for nearly all U.S. land systems, including Abrams tanks and Stryker armored vehicles.

As the U.S. looks at potential ground operations in other regions, General Dynamics' vehicles are back in focus for refurbishment and new production.

GD Q3 2025 Financial Highlights

\$ MILLIONS EXCEPT EPS

	2025	2024	3Q25 vs. 3Q24
Revenue	\$ 12,907	\$ 11,671	↑ 10.6%
Operating Earnings	1,331	1,181	↑ 12.7%
Operating Margin	10.3%	10.1%	↑ 20bps
Net Earnings	1,059	930	↑ 13.9%
EPS, Diluted	3.88	3.35	↑ 15.8%
Total Backlog	\$ 109,857	\$ 92,634	↑ 18.6%
Total Estimated Contract Value	167,737	137,575	↑ 21.9%
Free Cash Flow	\$ 1,897	\$ 1,215	
% Net Earnings	179%	131%	

Data [via](#) GD Investor Presentation

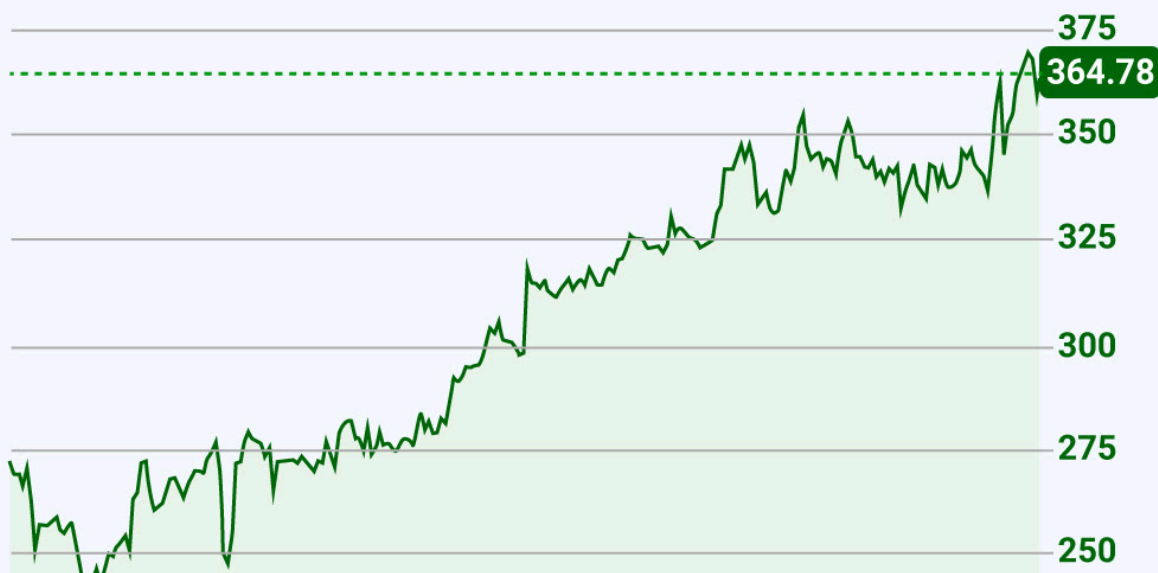
General Dynamics may also be trading at a discount compared to "high-tech defense" stocks, making it a classic value opportunity in this environment.

The company also pays a dividend, and has seen its shares jump around 23% in the last six months as this replenishment movement by the U.S. military heats up.

During broader market volatility, General Dynamics may be positioned as a safer bet due to its diversification of products, while also positioned to potentially benefit from the multi-year replenishment cycle.

General Dynamics Corporation (GD)

1 Year Price → **364.78**
(34.29%)



JAN 2025 FEB MAR APR MAY JUN JUL AUG SEP OCT NOV DEC JAN 2026

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Data [via](#) Yahoo! Finance

PRECISION SYSTEMS

Putting It All Together

So far, we've focused on the ammo and the weapons themselves - but what about pressing the button to make them fire?

Lockheed Martin (LMT) puts it all together.

Lockheed makes the GMLRS (Guided Multiple Launch Rocket System). Several countries use this ammunition to launch precision-guided rockets from dozens of miles away.

The U.S. Army is currently shifting its strategy towards "Long Range Precision Fires" - meaning hitting targets from far away with extreme accuracy.

LMT Aeronautics sales & operating profit

3rd Quarter (\$M)

Sales

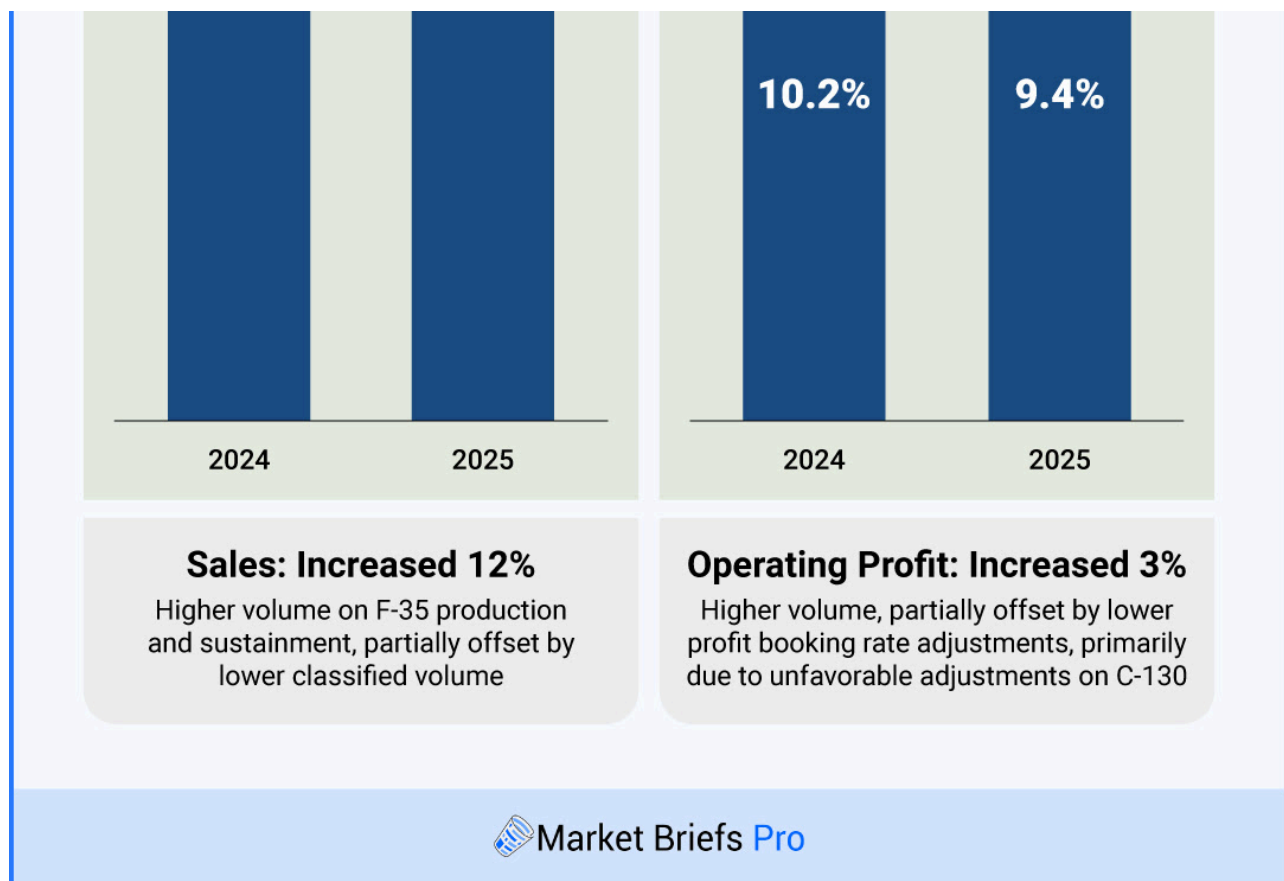
\$6,487

\$7,256

Operating Profit

\$659

\$682



Data via LMT Investor Presentation

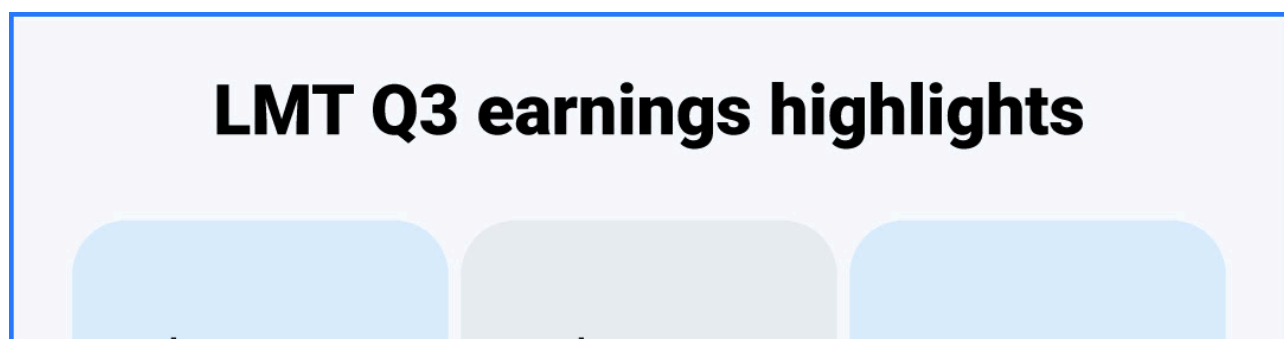
Lockheed also has the next-generation replacement for older systems: PrSM (Precision Strike Missile).

- This system flies farther and hits harder than anything before it.

PrSM was approved back in 2023, and Lockheed began scaling up production to meet demand in late 2025.

Why does this matter? Success in actual combat translates immediately to foreign sales - and this is timed perfectly with the U.S. replacement cycle.

Lockheed also produces the Javelin anti-tank missile, which remains in critical demand globally from allied nations.





Data [via](#) LMT Investor Presentation

What's the opportunity? Not only could shares of Lockheed appreciate in value due to the replenishment cycle, the company also returns massive amounts of money to shareholders through stock buybacks.

This effectively helps grow earnings per share while investors wait for the munitions orders to hit the bottom line in financial reports.

Lockheed Martin shares are close to reaching all-time highs as of January 22nd, 2026.

The market is realizing that Lockheed isn't just a fighter jet company anymore - it's becoming a ballistics powerhouse with guaranteed multi-year contracts, with potential room to grow in 2026.

Lockheed Martin Corporation (LMT)

1 Year Price



586.23
(15.79%)



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Data [via](#) Yahoo! Finance

RISKS

How This Shift Could Change

How This Shift Could Change

The primary risk to this shift is supply chain bottlenecks, specifically around Solid Rocket Motors (SRMs).

What are those? SRMs are the engines that power missiles - and there are only two main suppliers in the U.S.: L3Harris/Aerojet and Northrop Grumman.

If these suppliers can't ramp up their own production, then RTX and Lockheed can't ship their missiles, no matter how big their order books get.

That could limit growth even with massive demand.

There's also a chance that major conflicts don't happen in the future, which could cause military spending to slow.

However, stockpiles have been used up globally, which could mean even peace wouldn't stop the need to replenish weapon systems.

Investors in this shift are effectively betting that the world has entered a decade-long period of re-armament and military readiness.

Even if conflicts don't occur, militaries still need to replace what they've already spent.

REVIEW

Old-school Defense Meets New-Age Dollars

Defense spending is shifting from shiny innovations to replenishment.

That means the companies making actual missiles, bombs, and artillery shells who were seen as old-school are now seeing an influx of new investor interest.

The common thread: These aren't speculative startups - they're industrial giants with factories, contracts, and proven products that work in actual combat.

With global stockpiles depleted and allied nations rushing to secure production slots, the "Replenishment Supercycle" is just beginning.

Investors will want to keep an eye on this shift as defense spending reallocates from research projects to volume production over the next several years.



- Market Briefs Pro Team

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Our mission? It's simple - to help you be better with money.

Included interviews have been edited for length and clarity.